VI

Expropriation

The rules of international law governing the expropriation of alien property have long been of central concern to foreigners in general and to foreign investors in particular. Expropriation is the most severe form of interference with property. All expectations of the investor are destroyed in case the investment is taken without adequate compensation.

On the level of customary international law, the minimum standard for the protection of aliens came to place limitations on the territorial sovereignty of the host state and to protect alien property. On the level of treaty law, all modern agreements on foreign investment contain specific provisions covering preconditions for and consequences of expropriation.

1. The Right to Expropriate

Consistent with the notion of territorial sovereignty, the classical rules of international law have accepted the host state's right to expropriate alien property in principle. Indeed, state practice has considered this right to be so fundamental that even modern investment treaties (often entitled agreements 'for the promotion and protection of foreign investment') respect this position. Treaty law typically addresses only the conditions and consequences of an expropriation, leaving the right to expropriate as such unaffected.[1]

Even clauses in agreements between the host state and the investor that freeze the applicable law for the period of the agreement ('stabilization clauses')[2] will not necessarily stand in the way of a lawful expropriation. The position is less clear if such an agreement explicitly excludes the right to expropriate. Except in extreme circumstances, an international tribunal will probably interpret such a

[1] Some states (eg Ecuador, Peru) provide in their constitutions that their contractual agreements with foreign investors may not be changed by a unilateral act. But they have not gone as far as excluding the right to expropriate. Article 249 of the Constitution of Ecuador (1998) provides for all contracts relating to public services: 'The agreed contractual conditions cannot be modified unilaterally by law or other measures.' Article 62 of the 1993 Peruvian Constitution states: 'Through contract-laws, the State can establish guarantees and grant assurances. They may not be amended legislatively....'

[2] See above, p. 75.

clause in a literal manner. In practice, however, such far-reaching provisions have played no significant role.

2. The Three Branches of the Law

Beyond the right of the host state to expropriate, the international law on expropriation has developed three branches, which regulate the scope and conditions of the exercise of this power. The first one defines the interests that will be protected. This facet has not traditionally been in the forefront of academic and practical discussions but has received some prominence more recently. Most contemporary treaties, in their provisions dealing with expropriation refer to 'investments'. Similarly, the jurisdiction of arbitral tribunals is typically restricted to disputes arising from 'investments'. Therefore, it is 'investments', as defined in these treaties that are protected.[3]

The second branch concerns the definition of an expropriation. While this matter raises no questions in case of a formal expropriation, the issue may acquire a high degree of complexity when the host state interferes with the rights of the foreign owner without a formal taking of title. Indeed, in the practice of the past three decades, most cases relating to expropriation have turned on the controversy of whether or not a 'taking' had actually occurred. Matters of public health, the environment, or general changes in the regulatory system may prompt a state to regulate foreign investments. This has led to claims against the state on the basis that a regulatory taking or indirect expropriation has occurred. The elements of indirect expropriation are discussed below.[4]

The third branch of the law on expropriation relates to the conditions under which a state may expropriate alien property. The classical requirements for a lawful expropriation are a public purpose, non-discrimination as well as prompt, adequate, and effective compensation. In practice, the requirement of compensation has turned out to be the most controversial aspect. This issue is discussed in the next section.

3. The Legality of the Expropriation

It is today generally accepted that the legality of a measure of expropriation is conditioned on three (or four) requirements. These requirements are contained in

[3] For the concept of an investment, see above, p. 60. See also below, at p. 115.
[4] See p. 32.

most treaties. They are also seen to be part of customary international law. These requirements must be fulfilled cumulatively:

- The measure must serve a public purpose. Given the broad meaning of 'public purpose', it is not surprising that this requirement has rarely been questioned by the foreign investor. However, tribunals did address the significance of the term and its limits in some cases.[5]
- The measure must not be arbitrary and discriminatory within the generally accepted meaning of the terms.
- Some treaties explicitly require that the procedure of expropriation must follow principles of due process.[6] Due process is an expression of the minimum standard under customary international law and of the requirement of fair and equitable treatment. Therefore, it is not clear whether such a clause, in the context of the rule on expropriation, adds an independent requirement for the legality of the expropriation.
- The expropriatory measure must be accompanied by prompt, adequate, and effective compensation. Adequate compensation is generally understood today to be equivalent to the market value of the expropriated investment.

Of these requirements for the legality of an expropriation, the measure of compensation has been by far the most controversial one. In the period between roughly 1960 and 1990, the rules of customary law on compensation were at the centre of the debate on expropriation. They were discussed in the broader context of economic decolonization, the notion of 'Permanent Sovereignty over Natural Resources', and of the call for a new international economic order. Today, these fierce debates are over and nearly all expropriation cases before tribunals follow the treaty-based standard of compensation in accordance with the fair market value. In the terminology of the earlier decades this means 'full' or 'adequate' compensation. However, this does not mean that the amount of compensation is easy to determine. Especially in cases of foreign enterprises operating on the basis of complex contractual agreements, the task of valuation requires close cooperation of valuation experts and the legal profession.

Various methods may be employed to determine market value. The discounted cash flow method will often be a relevant yardstick, rather than book value or replacement value, in the case of a going concern that has already produced income. Before the point of reaching profitability, the value of the original investment with appropriate adjustments will be the more appropriate measure.[7]

A traditional issue that has never been resolved entirely concerns the consequences of an illegal expropriation. In the case of an indirect expropriation, illegality will be the rule, since there will be no compensation.

[5] See eg *ADC v Hungary*, Award, 2 October 2006, paras 429–433.
[6] See eg Article 6(1)(d) of the 2004 US Model BIT.
[7] See below, p. 274.

According to one school of thought, the measure of damages for an illegal expropriation is no different from compensation for a lawful taking. The better view is that an illegal expropriation will fall under the general rules of state responsibility, while this is not so in the case of a lawful expropriation accompanied by compensation. In case of an illegal act the damages should, as far as possible, restore the situation that would have existed had the illegal act not been committed. By contrast, compensation for a lawful expropriation should represent the market value at the time of the taking. The result of these two methods can be markedly different.[8] The difference will mainly concern the amount of lost profits. The issue of compensation and damages is discussed in more detail below in the chapter on the settlement of investment disputes.[9]

The requirement of 'prompt' compensation means 'without undue delay'.[10] The requirement of 'effective' compensation means that payment is to be made in a convertible currency.[11]

4. Direct and Indirect Expropriation

The difference between a direct or formal expropriation and an indirect expropriation turns on whether the legal title of the owner is affected by the measure in question. Today direct expropriations have become rare. States are reluctant to jeopardize their investment climate by taking the drastic and conspicuous step of an open taking of foreign property. An official act that takes the title of the foreign investor's property will attract negative publicity and is likely to do lasting damage to the state's reputation as a venue for foreign investments.

As a consequence, indirect expropriations have gained in importance. An indirect expropriation leaves the investor's title untouched but deprives him of the possibility to utilize the investment in a meaningful way. A typical feature of an indirect expropriation is that the state will deny the existence of an expropriation and will not contemplate the payment of compensation.

(a) Broad Formulae: Their Substance and Evolution

The contours of the definition of an indirect expropriation are not precisely drawn. An increasing number of arbitral cases and a growing body of literature

[8] See eg DW Bowett, 'State Contracts with Aliens: Contemporary Developments on Compensation for Termination or Breach' (1988) 59 BYIL 47; PCIJ, Case Concerning the Factory at Chorzów (1928), Serie A, No. 17, 47. For a full discussion, see I Marboe 'Compensation and Damages in International Law, The Limits of "Fair Market Value"' (2006) 7 *Journal of World Investment & Trade* 723.

[9] Below, at pp. 271–275.

[10] R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 112.

[11] Ibid.

on the subject have shed some light on the issue but the debate goes on.[12] In some recent ICSID decisions, tribunals have interpreted the concept of indirect expropriation narrowly and have preferred to find a violation of the standard of fair and equitable treatment.[13]

The concept of indirect expropriation as such was clearly recognized in the early case law of arbitral tribunals and of the Permanent Court of International Justice in the 1920s and 1930s.[14] Today it is generally accepted that certain types of measures affecting foreign property will be considered an expropriation, and require compensation, even though the owner retains the formal title. What was and remains contentious is the drawing of the line between non-compensable regulatory and other governmental activity and measures amounting to indirect, compensable expropriation. The issue is of equal importance to the host state, which may wish to broaden the range of non-compensable activities and to the foreign investor who will argue in favour of a broad understanding of the concept of indirect takings.

Bilateral and multilateral treaties and draft treaties typically contain a reference to indirect expropriation or to measures tantamount to expropriation. The Abs–Shawcross Draft Convention on Investment Abroad (1959) referred to 'measures against nationals of another Party to deprive them directly or indirectly of their property....' Essentially, the same wording appears in the 1967 OECD Draft Convention on the Protection of Foreign Property. The Draft United Nations Code of Conduct on Transnational Corporations referred to '[a]ny such taking of property whether direct or indirect....' The 1992 World Bank Guidelines on the Treatment of Foreign Direct Investment speaks of expropriation or '... measures which have similar effects'. Similarly, the 1998 OECD Draft for a Multilateral Agreement on Investment refers to 'measures having equivalent effect'. Another variation is contained in the North American Free Trade Agreement (NAFTA) of 1992, which speaks of '... a measure tantamount to nationalization or expropriation'. The 1994 Energy Charter Treaty similarly refers to 'a measure or measures having effect equivalent to nationalization or expropriation'.

Most current bilateral investment treaties contain similar language. The current French Model Treaty states: 'Neither Contracting Party shall take any measures of expropriation or nationalization or any other measures having the effect of dispossession, direct or indirect, of nationals or companies of the other Contracting Party of their investments....'[15] According to the German Model Treaty '[i]nvestments by investors of either Contracting State shall not directly or indirectly be expropriated, nationalized or subjected to any other measure the

[12] See Y Fortier and SL Drymer, 'Indirect Expropriation in the Law of International Investment: I know it when I see it, or caveat investor' (2004) 19 ICSID Review-FILJ 293.

[13] See below, p. 106.

[14] See *Norwegian Shipowners' Claims*, 1 RIAA (1922) 307; *Case Concerning Certain German Interests in Polish Upper Silesia*, PCIJ Series A, No. 7 (1926) 3.

[15] Article 5(2) of the French Model Treaty.

effects of which would be tantamount to expropriation or nationalization. . . .'[16] The Model Treaty used by the United Kingdom provides that '[i]nvestments of nationals or companies of either Contracting Party shall not be nationalized, expropriated or subjected to measures having effect equivalent to nationalization or expropriation. . . .'[17]

The 2004 US Model Treaty approaches the issue in greater detail. After stating in Article 6(1) that '[n]either Party may expropriate or nationalize a covered investment either directly or indirectly through measures equivalent to expropriation or nationalization. . . .'[18] A special Annex B named 'Expropriation' adds:

(a) The determination of whether an action or series of actions by a Party, in a specific fact situation, constitutes an indirect expropriation, requires a case-by-case, fact-based inquiry that considers, among other factors: (i) the economic impact of the government action, although the fact that an action or series of actions by a Party has an adverse effect on the economic value of an investment, standing alone, does not establish that an indirect expropriation has occurred; (ii) the extent to which the government action interferes with distinct, reasonable investment-backed expectations; and (iii) the character of the government action.

(b) Except in rare circumstances, non-discriminatory regulatory actions by a Party that are designed and applied to protect legitimate public welfare objectives, such as public health, safety, and the environment, do not constitute indirect expropriations.[19]

Among the broader formulae proposed in general studies and drafts, some have received special attention in the decisions of arbitral tribunals and in academic writings. Harvard Professors Sohn and Baxter included in their 1961 Draft Convention on the International Responsibility of States for Injuries to Aliens, a version that is elaborate and contains specific categories of indirect takings:

A taking of property includes not only an outright taking of property but also any such unreasonable interference with the use, enjoyment, or disposal of property as to justify an inference that the owner thereof will not be able to use, enjoy, or dispose of the property within a reasonable period of time after the inception of such interference.[20]

The 1986 Restatement (Third) of the Foreign Relations Law of the United States (§ 712) is much shorter and in its text only speaks of a 'taking'. Comment (g) refers to actions 'that have the effect of "taking" the property, in whole or in large part, outright or in stages ("creeping expropriation").'

An UNCTAD study, prepared in 2000, uses different language and considers that 'measures short of physical takings may amount to takings in that they result

[16] Article 4(2) of the German Model Treaty.
[17] Article 5(1) of the UK Model Treaty.
[18] See Article 6(1) of the US Model Treaty.
[19] Annex B, Article 4 of the 2004 US Model Treaty.
[20] LB Sohn and RR Baxter, 'Responsibility of States for Injuries to the Economic Interests of Aliens' (1961) 55 AJIL 545, 553 (Article 10(3)(a)).

in the effective loss of management, use or control, or a significant depreciation of the value, of the assets of a foreign investor'.[21]

In an early influential article Gordon Christie reviewed the then existing case law and pointed to certain recognized groups and categories of indirect takings, without an attempt to present a general formula.[22] Judge Rosalyn Higgins, in her 1982 Hague Lectures, questioned the usefulness of a distinction between non-compensable bona fide governmental regulation and 'taking' for a public purpose:

> Is this distinction intellectually viable? Is not the State in both cases (that is, either by a taking for a public purpose, or by regulating) purporting to act in the common good? And in each case has the owner of the property not suffered loss? Under international law standards, a regulation that amounted (by virtue of its scope and effect) to a taking, would need to be 'for a public purpose' (in the sense of a general, rather than for a private, interest). And just compensation would be due.[23]

It has been argued that the international law of expropriation has essentially grown out of, and mirrored, the parallel domestic laws.[24] As a consequence of this linkage, it appears plausible that measures that are, under the rules of the main domestic laws, normally considered regulatory without requiring compensation, will not require compensation under international law either.

The importance of the effect of a measure for the question of whether an expropriation has occurred was highlighted by Reisman and Sloane:

> ...[T]ribunals have increasingly accepted that that expropriation must be analyzed in consequential rather than in formal terms. What matters is the effect of governmental conduct—whether malfeasance, misfeasance, or nonfeasance, or some combination of the three—on foreign property rights or control over an investment, not whether the state promulgates a formal decree or otherwise expressly proclaims its intent to expropriate. For purposes of state responsibility and the obligation to make adequate reparation,

[21] UNCTAD, *Series on Issues in International Investment Agreements: 'Taking of Property'* (2000) 4.

[22] GC Christie, 'What Constitutes a Taking of Property under International Law?' (1962) 38 *British Year Book of International Law* 307.

[23] R Higgins, 'The Taking of Property by the State: Recent Developments in International Law' (1982-III) 176 *Recueil des Cours* 259, 331. What I hope nonetheless to have shown in these lectures is that questions relating to property in international law need to be looked at as a coherent whole. Questions of permanent sovereignty over natural resources, compensation, public interest, concessions, regulatory controls, human rights, are all intertwined. If we isolate them we exclude relevant factors from our consideration. What I hope nonetheless to have shown in these lectures is that questions relating to property in international law need to be looked at as a coherent whole. Questions of permanent sovereignty over natural resources, compensation, public interest, concessions, regulatory controls, human rights, are all intertwined. If we isolate them we exclude relevant factors from our consideration

[24] R Dolzer, 'Indirect Expropriation of Alien Property' (1986) 1 ICSID Review-FILJ 41.

international law does not distinguish indirect from direct expropriations.[25] [footnotes omitted]

(b) Judicial and Arbitral Practice: Some Illustrative Cases

Cases decided by tribunals demonstrate the variety of scenarios in which the question of indirect expropriation may come up. Tribunals have had to adapt their focus of inquiry to these different circumstances. An emphasis on different aspects of the law must not necessarily be construed as an expression of inconsistency. Often, the facts of a case simply highlight only one specific factor and the neglect of other possible factors does result not from oversight but from their irrelevance to the specific circumstances. A short survey of cases may indicate the diversity of factual bases and of the reasoning of tribunals.

The *Oscar Chinn* case[26] concerned the interests of a British shipping business in the Congo. In the aftermath of the economic crisis of 1929, the Belgian government had intervened in the shipping business on the Congo River by reducing the prices charged by Mr Chinn's only competitor, the partly state-owned company *UNATRA*. The government had also granted corresponding subsidies to *UNATRA* in order to keep the transport system on the Congo River viable. This made the business of Oscar Chinn economically unsustainable. The PCIJ concluded that there was no taking. It said:

> The Court [...] is unable to see in his [Mr. Chinn's] original position—which was characterized by the possession of customers and the possibility of making a profit—anything in the nature of a genuine vested right. Favourable business conditions and good-will are transient circumstances, subject to inevitable changes; [...] No enterprise [...] can escape from the chances and hazards resulting from general economic conditions.[27]

The arbitration in *Revere Copper v OPIC*[28] concerned a dispute arising from the insurance by the US Overseas Private Investment Corporation (OPIC)[29] of an investment made by the US claimant in Jamaica. *Revere Copper* had made substantial investments in the Jamaican bauxite mining sector. An agreement concluded in 1967 between RJA, the investor's local subsidiary, and the Jamaican government fixed the taxes and royalties that were to be paid by RJA for a period of 25 years and provided that no further taxes or financial burdens would be imposed on RJA by the Jamaican authorities. However, in 1972, the newly elected Jamaican government announced a far-reaching reform of the bauxite sector and,

[25] WM Reisman and RD Sloane, 'Indirect Expropriation and its Valuation in the BIT Generation' (2003) 74 *British Year Book of International Law* 115, 121.
[26] PCIJ, *Oscar Chinn Case* (*UK v Belgium*), 12 December 1934, Series A/B, No. 63 (1934) 4.
[27] Ibid at 27.
[28] *Revere Copper v OPIC*, Award, 24 August 1978, 56 ILR (1980) 258.
[29] On investment insurance and OPIC, see below, at pp. 207–210.

in 1974, increased the revenues to be paid by RJA so drastically that RJA ceased operating in 1975.

Revere Copper then sought recovery under its OPIC insurance contract, alleging that the measures adopted by the Jamaican government amounted to an expropriation of *Revere*'s investment. The General Terms and Conditions of the OPIC contract defined 'expropriatory action' *inter alia* as: 'any action which [. . .] for a period of one year directly results in preventing [. . .] the Foreign Enterprise from exercising effective control over the use or disposition of substantial portion of its property or from constructing the project or operating the same'. Although there had been no direct interference with Revere's physical property, the majority of the tribunal found that the repudiation of the guarantees given to Revere amounted to an action that had resulted in preventing the foreign enterprise from exercising effective control over the use or disposition of a substantial portion of its property:

> OPIC argues that RJA still has all the rights and property that it had before the events of 1947: it is in possession of the plant and other facilities; it has its Mining Lease; it can operate as it did before. This may be true in a formal sense but [. . .] we do not regard RJA's 'control' of the use and operation of its properties as any longer 'effective' in view of the destruction by Government actions of its contract rights.[30]

The arbitral tribunal came to this conclusion by emphasizing that 'control in a large industrial enterprise [. . .] is exercised by a continuous stream of decisions'[31] and that without the repudiated agreement between RJA and Jamaica, '[t]here is no way in which rational decisions can be made'.[32]

Sporrong & Lönnroth v Sweden (1982)[33] is the lead case for the jurisprudence of the European Court of Human Rights (ECHR) on matters regarding the protection of private property.[34] The case was brought before the Court by two Swedish citizens whose properties had been subject to long-term expropriation permits granted by the Swedish government to the local authorities of the city of Stockholm. The permits, issued in 1956 and 1971, only authorized the city of Stockholm to do so if it deemed necessary for the achievement of a projected urban construction scheme. The expropriation permits lasted 23 and 8 years, respectively, but the local authorities never exercised their power of formal expropriation. Certain constraints with regard to construction and renovation of the properties were imposed upon the owners. In 1979, the city of Stockholm renounced its construction plans and the expropriation permits were no longer extended.

30 Ibid at 291–292.

31 Ibid at 292.

32 Ibid.

33 ECHR, 23 September 1982, *Sporrong/Lönnroth v Sweden*, Series A 52.

34 More generally on the practice of the ECHR, see A Van Rijn, 'Right to the Peaceful Enjoyment of One's Possessions (Article 1 of Protocol No. 1)' in P van Dijk, G J H van Hoof, A van Rijn, and L Zwaak (eds), *Theory and Practice of the European Convention on Human Rights* (2006) 863–893.

The affected owners argued that the measures adopted by the Swedish government constituted a violation of Article 1 of the First Additional Protocol to the European Convention for the Protection of Human Rights and Fundamental Freedoms,[35] as they had been hindered from selling their properties at an acceptable price and from undertaking necessary renovations during the existence of the expropriation permits.

The Court ruled that the applicants had not been formally deprived of their possessions. The Court acknowledged that '[i]n the absence of formal expropriation, that is to say a transfer of ownership, the Court considers that it must look behind the appearances and investigate the realities of the situation complained of' and that 'it has to be ascertained whether that situation amounted to a *de facto* expropriation, as was argued by the applicants'.[36]

But the majority also found that there had been no indirect expropriation in the case before it:

> ...although the right in question lost some of its substance, it did not disappear. The effects of the measures involved are not such that they can be assimilated to a deprivation of possessions. The Court observes in this connection that the applicants could continue to utilise their possessions and that, although it became more difficult to sell properties in Stockholm affected by expropriation permits and prohibitions on construction, the possibility of selling subsisted.[37]

The Court also held that the second paragraph of Article 1 had no relevance because the measures were designed to lead to an expropriation and not meant to limit or to control the use of the properties.[38]

The Court then turned to the first sentence of the first paragraph of Article 1 and found that for the purposes of this provision 'the Court must determine whether a fair balance was struck between the demands of the general interest of the community and the requirements of the protection of the individual's fundamental rights'.[39]

While recognizing that the contracting states 'should enjoy a wide margin of appreciation in order to implement their town-planning policy',[40] the Court held that the inflexibility of the Swedish legislation, which excluded the possibility of seeking a reduction of the time-limits or of claiming compensation, failed to strike a fair balance between the requirements of the general interest and the

[35] Article 1 reads: '(1) Every natural or legal person is entitled to the peaceful enjoyment of his possessions. No one shall be deprived of his possessions except in the public interest and subject to the conditions provided for by law and by the general principles of international law.

(2) The preceding provisions shall not, however, in any way impair the right of a State to enforce such laws as it deems necessary to control the use of property in accordance with the general interest or to secure the payment of taxes or other contributions or penalties.'

[36] Ibid at para 63.

[37] Ibid.

[38] Ibid at para 64.

[39] Ibid at para 69.

[40] Ibid.

protection of the right of property and therefore amounted to a violation of Article 1 of the First Additional Protocol.[41]

The reasoning of the Court demonstrates that each treaty-based provision has to be read and understood in its own context and that analogies to provisions in other treaties or to rules of customary law may therefore not be appropriate. The tripartite structure of Article 1 of the First Additional Protocol to the ECHR is peculiar to this particular treaty.[42]

In *Goetz v Burundi*,[43] an ICSID tribunal had to rule on the revocation, by the host state, of a free-zone status accorded to a foreign investor. Although there had been no formal taking of property, the tribunal had no difficulty in finding that the government's actions constituted a measure having effect similar to expropriation:

> Since [...] the revocation of the Minister for Industry and Commerce of the free zone certificate forced them to halt all activities [...], which deprived their investments of all utility and deprived the claimant investors of the benefit which they could have expected from their investments, the disputed decision can be regarded as a 'measure having similar effect' to a measure depriving of or restricting property within the meaning of Article 4 of the Investment Treaty.[44]

In *Metalclad v Mexico*,[45] a US company had been granted a permit for the development and operation of a hazardous waste landfill by the Mexican Federal Government. Subsequently, the local municipal authorities refused to grant the necessary construction permit and the regional government declared the land in question a national area for the protection of cactuses. The arbitral tribunal found a violation of NAFTA Article 1110, which provides that '[n]o Party may directly or indirectly nationalize or expropriate an investment of an investor of another Party in its territory or take a measure tantamount to nationalization or expropriation of such an investment [...]'. An often repeated passage in the tribunal's Award reads:

> Thus, expropriation under NAFTA includes not only open, deliberate and acknowledged takings of property, such as outright seizure or formal or obligatory transfer of title in favour of the host State, but also covert or incidental interference with the use of property which has the effect of depriving the owner, in whole or in significant part, of the use or reasonably-to-be-expected economic benefit of property even if not necessarily to the obvious benefit of the host State.[46]

[41] Ibid at para 73.
[42] See also above, p. 22 (object and purpose of investment treaties).
[43] *Goetz v Burundi*, Award, 10 February 1999, 15 ICSID Review-FILJ (2000) 457.
[44] Ibid at para 124.
[45] *Metalclad Corp. v Mexico*, Award, 30 August 2000, 5 ICSID Reports (2002) 209.
[46] Ibid at para 103; referring to *Biloune v Ghana*, Award on damages and costs, 30 June 1990, 95 ILR (1995) 184 at para 108.

In the Arbitration proceeding under the UNCITRAL Rules in *CME v Czech Republic*,[47] the tribunal had to rule on the interference by the Czech Media Council with the contract rights of the claimant's subsidiary CNTS. In particular, the Czech authorities had made it possible for the investor's local partner to cancel the contract that formed the basis for the claimant's investment in the Czech Republic. The tribunal rejected the respondent's argument that 'the Media Council's actions did not deprive the claimant of its worth, as there has been no physical taking of the property by the State'. In the tribunal's view, this was irrelevant:

The Media Council's actions and omissions, as described above, caused the destruction of CNTS' operations, leaving CNTS as a company with assets, but without business. [...] What was touched and indeed destroyed was the Claimant's and its predecessor's investment as protected by the Treaty. What was destroyed was the commercial value of the investment [...] by reason of coercion exerted by the Media Council [...].[48]

The expropriation claim is sustained despite the fact that the Media Council did not expropriate CME by express measures of expropriation. De facto expropriations or indirect expropriations, i.e. measures that do not involve an overt taking but that effectively neutralize the benefit of the property of the foreign owner, are subject to expropriation claims. This is undisputed under international law.[49]

The ICSID award in *Middle East Cement Shipping v Egypt*[50] concerned the revocation of a free zone license through the prohibition of import of cement into Egyptian territory. The prohibition resulted in a paralysis of the investor's business, which essentially consisted of importing, storing, and dispatching cement within Egypt. The arbitral tribunal found that the import prohibition resulted in an indirect taking of the claimant's investment:

When measures are taken by a State the effect of which is to deprive the investor of the use and benefit of his investment even though he may retain nominal ownership of the respective rights being the investment, the measures are often referred to as a 'creeping' or 'indirect' expropriation or, as in the BIT, as measures 'the effect of which is tantamount to expropriation.' As a matter of fact, the investor is deprived by such measures of parts of the value of his investment. This is the case here, and, therefore, it is the Tribunal's view that such a taking amounted to an expropriation within the meaning of Art. 4 of the BIT and that, accordingly, Respondent is liable to pay compensation therefor.[51]

In order to assess the current state of the law, it is useful not just to operate with broad formulae such as 'unreasonable interference', 'measures having the effect of

[47] *CME v Czech Republic*, Partial Award, 13 September 2001, 9 ICSID Reports 121.

[48] Ibid at para 591.

[49] Ibid at para 604. The award in the parallel case, in *Lauder v Czech Republic*, Award, 3 September 2001 (available at <http://ita.law.uvic.ca>) assumes, without authority, that a finding of an expropriation would have to benefit the host state or any other person or entity related thereto (para 203).

[50] *Middle East Cement Shipping v Egypt*, Award, 12 April 2002, 7 ICSID Reports (2005) 178.

[51] Ibid at para 107.

an expropriation', or 'measures which substantially deprive the owner of the use of the property'. More specific topics that will help to elucidate and concretize these broad formulae are expressed in the distinction between effect and purpose of a measure, in reference to the role of intent of the government, consideration of the issue of legitimate expectations of the investor, control over the investment, the need for regulatory measures and the duration of a measure. These issues are discussed explicitly in some decisions. They are not necessarily the key to a fully homogeneous theory that does justice to all existing arbitral decisions. But they will assist in a better understanding of individual decisions and of general trends.

Not surprisingly, significant lacunae and open issues remain in the law governing indirect expropriation. Domestic courts have grappled with the same issues much longer. Despite the benefit of constitutional texts and the homogeneity of their national legal systems, they have been unable to resolve all problems. Sometimes these courts have stated that broad formulae will not be helpful as guidelines for judicial reasoning.[52]

(c) Effect or Intention?

The effect of the measure upon the economic benefit and value as well as upon the control over the investment will be the key question when it comes to deciding whether an indirect expropriation has taken place. Whenever this effect is substantial and lasts for a significant period of time, it will be assumed prima facie that a taking of the property has occurred.[53]

Tribunals have accordingly based their decisions on economic considerations. Indirect expropriation was seen to exist if the measure constituted a deprivation of the economic use and enjoyment, 'as if the rights related thereto—such as the income or benefits [...] had ceased to exist',[54] or whether 'the use or enjoyment of benefits related thereto is exacted or interfered with to a similar extent'.[55] Other formulae and phrases have also been used.[56]

[52] See eg *Andrus v Allard*, 444 US Supreme Court (1979) 51, 65; 100 S.Ct. Rep. 318 (1979): 'There is no abstract or fixed point at which judicial intervention under the Takings Clause becomes appropriate. Formulas and factors have been developed in a variety of settings. See *Penn Central*, above, at 123–128. Resolution of each case, however, ultimately calls as much for the exercise of judgment as for the application of logic.'

[53] See eg *Norwegian Shipowners' Claims*, 1 RIAA (1922) 307; *Goetz v Burundi*, Award, 10 February 1999, 15 ICSID Review-FILJ (2000) 457; *Middle East Cement v Egypt*, Award, 12 April 2002, 18 ICSID Review-FILJ (2003) 602; *Metalclad Corp. v Mexico*, Award, 30 August 2000, 5 ICSID Reports 209; *CME v Czech Republic*, Partial Award, 13 September 2001, 9 ICSID Reports 121.

[54] *TECMED v Mexico*, Award, 29 May 2003, 43 ILM (2004) 133, para 115.

[55] Ibid para 116.

[56] See Y Fortier and SL Drymer, 'Indirect Expropriation in the Law of International Investment: I Know It When I See It, or *Caveat Investor*' (2004) 19 ICSID Review-FILJ 293, 305: '... the required level of interference with such rights—has been variously described as: (1) *unreasonable*;

In *RFCC v Morocco*,[57] the tribunal stated that an indirect expropriation exists in case the measures have 'substantial effects of an intensity that reduces and/or removes the legitimate benefits related with the use of the rights targeted by the measure to an extent that they render their further possession useless'.[58]

Other decisions have in various wordings and degrees also emphasized the effect of the measure.[59] The tribunal in *CMS v Argentina*[60] found that no indirect expropriation had occurred when Argentina unilaterally suspended a previously agreed tariff adjustment scheme for the gas transport sector in the context of its economic and financial crisis. The US company CMS had argued, *inter alia*, that the suspension of the tariff adjustment formula amounted to an indirect expropriation of its investment in the Argentine gas transport sector. The tribunal rejected this argument even though it admitted that the measures had an important effect on the claimant's business:[61]

> The essential question is therefore to establish whether the enjoyment of the property has been effectively neutralized. The standard that a number of tribunals have applied in recent cases where indirect expropriation has been contended is that of substantial deprivation. [...] the investor is in control of the investment; the Government does not manage the day-to-day operations of the company; and the investor has full ownership and control of the investment.[62]

In *Telenor v Hungary*,[63] the investor held a telecom concession. It was affected by a special levy on all telecommunications service providers. The tribunal held that in order to constitute an expropriation, the conduct complained of must have a

(2) an interference that renders rights so *useless that they must be deemed to have been expropriated*; (3) an interference that deprives the investor of *fundamental rights of ownership*; (4) an interference that makes rights *practically useless*; (5) an interference *sufficiently restrictive* to warrant a conclusion that the property has been "taken"; (6) and interference that deprives, in whole or in significant part, the *use or reasonably-to-be-expected economic benefit* of the property; (7) an interference that *radically deprives* the economical use and enjoyment of an investment, as if the rights related thereto had ceased to exist; (8) an interference that makes *any form of exploitation of the property disappear* (...); (9) an interference such that the property can no longer be put to *reasonable use*.'

57 *RFCC v Morocco*, Award, 22 December 2003, 20 ICSID Review-FILJ (2005) 391.

58 Ibid para 69 (original in French : '[...] avoir des effets substantiels d'une intensité certaine qui réduisent et/ou font disparaître les bénéfices légitimement attendus de l'exploitation des droits objets de ladite mesure à un point tel qu'ils rendent la détention de ces droits inutile').

59 *Tippetts, Abbett, McCarthy, Stratton v TAMS-AFFA Consulting Eng'rs of Iran*, 6 Iran–US Cl. Trib. Rep. (1984) 219; *Biloune v Ghana*, Award on Jurisdiction, 27 October 1989, 95 ILR (1995) 184; *Metalclad Corp. v Mexico*, Award, 30 August 2000, 5 ICSID Reports 209; *Wena v Egypt*, Award on Merits, 8 December 2000, *41 ILM (2002) 896; Santa Elena v Costa Rica*, Award, 17 February 2000, 39 ILM (2000) 317; *CME v Czech Republic*, Partial Award, 13 September 2001 9 ICSID Reports 121; *Middle East Cement v Egypt*, Award, 12 April 2002, 18 ICSID Review-FILJ (2003) 602; *Goetz v Burundi*, Award, 10 February 1999, 15 ICSID Review-FILJ (2000) 457.

60 *CMS v Argentina*, Award, 12 May 2005, 44 ILM (2005) 1205.

61 See also *Revere Copper v OPIC*, 56 ILR (1980) 256 and the cases discussed by GH Aldrich, 'What Constitutes a Compensable Taking of Property? The Decisions of the Iran–United States Claims Tribunal' (1994) 88 AJIL 585.

62 At paras 262, 263.

63 *Telenor v Hungary*, Award, 13 September 2006.

major adverse impact on the economic value of the investment.[64] The tribunal said:

> ...the interference with the investor's rights must be such as substantially to deprive the investor of the economic value, use or enjoyment of its investment.[65] ...In considering whether measures taken by government constitute expropriation the determinative factors are the intensity and duration of the economic deprivation suffered by the investor as the result of them.[66]

In the event, the tribunal found that the special levy amounted to a very limited sum and fell below the threshold of the standard defining an indirect expropriation.[67]

In a number of cases tribunals have pointed out that what mattered for an indirect expropriation was only the effect of the measure and that any intention to expropriate was not decisive.[68] In *Tecmed v Mexico*,[69] the tribunal found that there had been an indirect expropriation. After explaining the concept of indirect or de facto expropriation, the tribunal said: 'The government's intention is less important than the effects of the measures on the owner of the assets or on the benefits arising from such assets affected by the measures; and the form of the deprivation measure is less important than its actual effects.'[70]

In *Siemens v Argentina*,[71] the tribunal found support in the applicable BIT for its finding that what mattered for the existence of an expropriation was the effect of the measures and not the government's intention. The Argentina–Germany BIT, like many other BITs, refers to indirect expropriation in terms of a 'measure the effects of which would be tantamount to expropriation'. The tribunal said: 'The Treaty refers to measures that have the effect of an expropriation; it does not refer to the intent of the State to expropriate.'[72]

Authority for the 'sole effect doctrine' also comes from the practice of the Iran–US Claims Tribunal. In *Starrett Housing v Iran*,[73] the tribunal said:

> ...it is recognized in international law that measures taken by a State can interfere with property rights to such an extent that these rights are rendered so useless that they must be deemed to have been expropriated, even though the State does not purport to have

[64] At para 64.
[65] At para 65.
[66] At para 70. Footnote omitted.
[67] At para 79.
[68] See also *Azurix v Argentina*, Award, 14 July 2006, at para 309.
[69] *Tecnicas Medioambientales Tecmed S.A. v The United Mexican States*, Award, 29 May 2003, 43 ILM 133 (2004).
[70] At para 116 citing the decisions of the Iran-US Claims Tribunal in *Tippetts* and *Phelps Dodge*. Footnote omitted.
[71] *Siemens v Argentina*, Award, 6 February 2007.
[72] At para 270.
[73] *Starrett Housing Corp. v Iran*, Iran–US Claims Tribunal, 19 Dec. 1983, 4 Iran–US CTR 122.

expropriated them and the legal title to the property formally remains with the original owner.[74]

Other decisions display a more differentiated approach. They take into account the context of the measure, including the purpose pursued by the host state. The *Oscar Chinn Case*[75] or *Sea-Land Service Inc v Iran*[76] seem to fall into this category. Upon review of the case law, *Fortier*[77] has concluded that an approach balancing different factors seems to be dominant. This is certainly true for the jurisprudence of the European Court of Human rights.[78] Also, the 2004 US Model BIT, in its description of indirect expropriation, refers not only to the economic impact of the government action but also to the design to protect legitimate public welfare objectives.[79] What is uncontroversial is that the mere post-facto explanation by the host state of its intention will in itself carry no decisive weight.[80]

Indeed, a number of tribunals have pointed out that a proper analysis of an expropriation claim must go beyond the technical consideration of the formalities and 'look at the real interests involved and the purpose and effect of the government measure'.[81]

(d) Legitimate Expectations

An issue that is not novel as such but has more recently received increasing attention is the existence of legitimate expectations on the part of the investor. This theme has also found expression in various forms in domestic laws. In fact, it is arguable that the concept of legitimate expectations is part of the general principles of law. Legitimate expectations play a key role in the interpretation of the fair and equitable treatment standard.[82] But they have also found entry into the law governing indirect expropriations.

The general nature of the concept of legitimate expectations makes it difficult to draw mechanical conclusions from it. But it may be employed usefully in a number of settings. Legitimate expectations may be created not only by explicit undertakings on the part of the host state in contracts but also by undertakings of a more general kind. In particular, the legal framework provided by the host state

[74] At p. 154. See also *Tippetts, Abbett, McCarthy, Stratton v TAMS-AFFA Consulting Engineers of Iran*, Iran–US Claims Tribunal, 22 June 1984, 6 Iran–US CTR 219, at 225–226; *Phillips Petroleum Co. v Iran*, Iran–US Claims Tribunal, 29 June 1989, 21 Iran–US CTR 79, at para 97.

[75] PCIJ, *Oscar Chinn Case* (UK v Belgium), 12 December 1934, Series A/B, No. 63 (1934) 4.

[76] *Sea-Land Service Inc v Iran*, 6 Iran–US Cl. Trib. Rep. 149, 166 (1984).

[77] Y Fortier and SL Drymer, 'Indirect Expropriation in the Law of International Investment: I Know It When I See It, or Caveat Investor' (2004) 19 ICSID Review-FILJ 293.

[78] See above ECHR, 23 September 1982, *Sporrong/Lönnroth v Sweden*, Series A 52.

[79] US Model BIT 2004. Annex B, para 4.

[80] See *Norwegian Shipowners' Claims*, 1 RIAA (1922) 307; R Dolzer, 'Indirect Expropriations: New Developments?' (2003) 11 *NYU Environmental Law Journal* 64, 91.

[81] *S D Myers v Canada*, First Partial Award, 13 November 2000, 40 ILM (2001) 1408, para 285.

[82] See below, at pp. 133–140.

will be an important source of expectations on the part of the investor. What matters for the investor's expectations is the state of the law of the host country at the time of the investment. To the extent that this state of the law was transparent and did not violate minimum standards, an investor will hardly convince a tribunal that the proper application of that law has led to an expropriation. This position is consistent with the power of the host state to accept and define the rights acquired by the investor at the time of the investment.[83]

Not every change in the host state's legal system affecting foreign property will violate legitimate expectations. No such violation will occur if the change remains within the boundaries of normal adjustments customary in the host state and accepted in other states. Such changes are predictable for a prudent investor at the time of the investment. For instance, the tribunal in *Methanex v USA*[84] found that certain new environmental regulations in California had been foreseeable for the Canadian investor.

Tribunals have relied on the legitimate expectations of investors in a number of cases relating to indirect expropriation. In *Revere Copper v OPIC*,[85] the host state had given explicit contractual assurances not to increase taxes and royalties. The tribunal said:

> We regard these principles as particularly applicable where the question is, as here, whether actions taken by a government contrary to and damaging to the economic interests of aliens are in conflict with undertakings and assurances given in good faith to such aliens as an inducement to their making the investments affected by the action.[86]

In *Metalclad v Mexico*,[87] the investor had acted in reliance on assurances to the effect that he had all necessary permits. Nevertheless, the project was foiled by a refusal of the municipality to grant a construction permit. The tribunal put much emphasis on the expectations created by the government's assurances:

> These measures, taken together with the representations of the Mexican federal government, on which Metalclad relied, and the absence of a timely, orderly or substantive basis for the denial by the Municipality of the local construction permit, amount to an indirect expropriation.[88]

[83] See eg *Oscar Chinn v Belgium*, 63 PCIJ (ser. A/B) 1934 (Dec. 12) at 84: 'Mr Chinn, a British subject, when, in 1929, he entered the river transport business, could not have been ignorant of the existence of the competition which he would encounter on the part of Unatra, which had been established since 1925, of the magnitude of the capital invested in that Company, of the connection it had with the Colonial and Belgian Governments, and of the predominant role reserved to the latter with regard to the fixing and application of transport rates.'

[84] *Methanex v USA*, Award, 3 August 2005, 44 ILM (2005) 1345; see also *Thunderbird v Mexico*, Award, 26 January 2006.

[85] *Revere Copper v OPIC*, Award, 24 August 1978, 56 ILR (1980) 258.

[86] At p. 271.

[87] *Metalclad Corp. v Mexico*, Award, 30 August 2000, 5 ICSID Reports (2002) 209.

[88] At para 107.

In a similar way, in *Tecmed v Mexico*,[89] the tribunal, in determining that the investment had been expropriated, found that

> ...upon making its investment, the Claimant had legitimate reasons to believe that the operation of the Landfill would extend over the long term. [...] the Claimant's expectation was that of a long-term investment relying on the recovery of its investment and the estimated return through the operation of the Landfill during its entire useful life.[90]

In *Thunderbird v Mexico*,[91] the tribunal gave a general definition of legitimate expectations:

> Having considered recent investment case law and the good faith principle of international customary law, the concept of 'legitimate expectations' relates, within the context of the NAFTA framework, to a situation where a Contracting Party's conduct creates reasonable and justifiable expectations on the part of an investor (or investment) to act in reliance on said conduct, such that a failure by the NAFTA Party to honour those expectations could cause the investor (or investment) to suffer damages.[92]

On the basis of this definition, the tribunal reached the conclusion that the investor's continued operation of gaming facilities in Mexico was not based on a legitimate expectation.[93]

In *Azurix v Argentina*,[94] the tribunal discussed the issue of legitimate expectations at some length.[95] It held that expectations 'are not necessarily based on a contract but on assurances explicit or implicit, or on representations made by the State which the investor took into account in making the investment'.[96]

On that basis it found that Argentina had created 'reasonable expectations' that it had not lived up to.[97] Remarkably, however, the tribunal held that no indirect expropriation had taken place, since the investor had continued to exercise control over the investment.[98]

(e) The Issue of Control: Partial Expropriation?

It is not unusual in situations involving allegations of indirect expropriation that the investor retains control of his enterprise but the investment loses its economic viability. The overall investment will survive, but important rights that determine its profitability are extinguished.

[89] *Tecnicas Medioambientales Tecmed S.A. v The United Mexican States*, Award, 29 May 2003, 43 ILM 133 (2004).
[90] At para 149.
[91] *Thunderbird v Mexico*, Award, 26 January 2006.
[92] At para 147. Footnote omitted.
[93] At para 208.
[94] *Azurix v Argentina*, Award, 14 July 2006.
[95] At paras 316–322.
[96] At para 318.
[97] See paras 316 *et seq.*
[98] Para 322.

A number of Awards suggest that continued control of an enterprise by the investor strongly militates against a finding that an indirect expropriation has occurred. The requirement of a total or substantial deprivation[99] has led these tribunals to deny the existence of an expropriation where the investor had retained control over the overall investment even though it had been deprived of specific rights.[100]

Azurix v Argentina,[101] concerned breaches of a water concession by a province of Argentina. The tribunal, although finding other breaches of the BIT, including fair and equitable treatment, denied the existence of an indirect expropriation, since the investor had retained control over the enterprise:

> ...the impact on the investment attributable to the Province's actions was not to the extent required to find that, in the aggregate, these actions amounted to an expropriation; Azurix did not lose the attributes of ownership, at all times continued to control ABA and its ownership of 90% of the shares was unaffected. No doubt the management of ABA was affected by the Province's actions, but not sufficiently for the Tribunal to find that Azurix's investment was expropriated.[102]

Similarly, in *LG&E v Argentina*,[103] the host state had violated the terms of concessions for the distribution of gas. The tribunal, although finding that other standards had been violated, denied the existence of an expropriation in view of the investor's continuing control:

> Ownership or enjoyment can be said to be 'neutralized' where a party no longer is in control of the investment, or where it cannot direct the day-to-day operations of the investment. [...] Interference with the investment's ability to carry on its business is not satisfied where the investment continues to operate, even if profits are diminished.[104]

Control is obviously an important aspect in the analysis of a taking. However, the continued exercise of control by the investor in itself is not necessarily the sole criterion. The issue becomes obvious when a host state substantially deprives the investor of the value of the investment leaving the investor with the control of an entity that does not amount to much more than the shell of the former investment.

This illustrates the significance of a test which includes criteria other than control, such as economic use and benefit. Any attempt to define an indirect

[99] *Pope & Talbot v Canada*, Award, 26 June 2000, 7 ICSID Reports 69, at para 102; *Metalclad Corp. v United Mexican States*, Award, 30 August 2000, 5 ICSID Reports 212, at para 103; *CMS Gas Transmission Company v Argentina*, Award, 12 May 2005, at para 262.

[100] *Marvin Feldman v Mexico*, Award, 16 December 2002, 7 ICSID Reports 341, paras 142, 152; *Occidental Exploration and Production Co. v Ecuador*, Award, 1 July 2004, at para 89; *CMS Gas Transmission Company v Argentina*, Award, 12 May 2005, at paras 263, 264; *Enron v Argentina*, Award, 22 May 2007, at para 245; *PSEG v Turkey*, Award, 19 January 2007, at para 278.

[101] *Azurix v Argentina*, Award, 14 July 2006.

[102] At para 322.

[103] *LG&E v Argentina*, Decision on Liability, 3 October 2006, 46 ILM (2007) 36.

[104] At paras 188, 191. Footnotes omitted.

expropriation on the basis of one factor alone will not lead to a satisfactory result in all cases. In particular, an approach that looks exclusively at control over the overall investment is unable to contemplate the expropriation of specific rights enjoyed by the investor.

Some tribunals have accepted the possibility of an expropriation of particular rights that formed part of an overall business operation without looking at the issue of control over the entire investment.[105] In *Middle East Cement v Egypt*,[106] the investor had, *inter alia*, obtained an import licence for cement and had operated a ship. Egypt subsequently took measures that prevented the investor from operating its licence and seized and auctioned the ship. The investor raised a series of claims in respect of which it alleged expropriation. These included but went beyond the import licence and ownership of the ship. The tribunal looked at these claims separately and determined in respect of each of them whether an expropriation had taken place. It found that the licence qualified as an investment and that the measures that prevented the exercise of the rights under it amounted to an expropriation.[107] The tribunal examined separately whether an expropriation of the ship had occurred and gave an affirmative answer.[108] Several other claims of expropriation in respect of other rights were also examined but denied for a variety of reasons.[109] Therefore, *Middle East Cement* demonstrates that it is possible to expropriate specific rights enjoyed by the investor separately regardless of the control over the overall investment.

In *Eureko B.V. v Poland*,[110] the investor had acquired a minority share in a privatized insurance company. A related agreement granted the investor the right to acquire further shares thereby gaining majority control of the company. The right to acquire the additional shares was subsequently withdrawn by the state. The original investment remained unaffected. The tribunal found that the right to acquire further shares constituted 'assets', which were separately capable of expropriation.[111] It follows from this decision that even where control over the basic investment remains unaffected, the taking of specific rights that are related to the basic investment may amount to an expropriation.[112]

[105] *Waste Management, Inc. v United Mexican States*, Award, 30 April 2004, 43 ILM (2004) 967, at paras 141, 147; *EnCana v Ecuador*, Award, 3 February 2006, at paras 172–183. For an extensive discussion, see U Kriebaum, 'Partial Expropriation' (2007) 8 *Journal of World Investment & Trade* 69.

[106] *Middle East Cement Shipping and Handling Co. S.A. v Arab Republic of Egypt*, Award, 12 April 2002, 7 ICSID Reports 178.

[107] At paras 101, 105, 107, 127.

[108] At paras 138, 144.

[109] At paras 152–156, 163–165.

[110] *Eureko B.V. v Poland*, Partial Award, 19 August 2005, 12 ICSID Reports 335.

[111] At paras 239–241.

[112] See U Kriebaum, 'Partial Expropriation' (2007) 8 *Journal of World Investment & Trade* 69.

(f) General Regulatory Measures

A question of prime importance both for the host state and for the foreign investor is the role of general regulatory measures of the host country under the rules of indirect expropriation. Emphasis on the host state's sovereignty supports the argument that the investor should not expect compensation for a measure of general application. One way to identify a taking may indeed be to clarify whether or not the measure in question was taken in the exercise of functions that are generally considered part of the government's powers to regulate the general welfare.[113] This approach calls for the comparison of domestic legal orders.[114]

In the United States, governmental regulatory powers are referred to as 'police power'. While it is debatable whether the term 'police power' is appropriate in the modern regulatory context, some investment tribunals have relied on this term,[115] as did the US Restatement of Foreign Relations Law.[116]

The Iran–United States claims tribunal ruled in *Too v Greater Modesto Insurance Associates*:[117]

> A state is not responsible for loss of property or for other economic disadvantage resulting from *bona fide* general taxation or any other action that is commonly accepted as within the police power of States, provided it is not discriminatory and is not designed to cause the alien to abandon the property to the State or to sell it at a distress price....

In *Feldman v Mexico*,[118] the tribunal stated the position as follows:

> ...the ways in which governmental authorities may force a company out of business, or significantly reduce the economic benefits of its business, are many. In the past, confiscatory taxation, denial of access to infrastructure or necessary raw materials, imposition of unreasonable regulatory regimes, among others, have been considered to be expropriatory actions. At the same time, governments must be free to act in the broader public interest through protection of the environment, new or modified tax regimes, the granting or withdrawal of government subsidies, reductions or increases in tariff levels, imposition of zoning restrictions and the like. Reasonable governmental regulation of this type cannot be achieved if any business that is adversely affected may seek compensation, and it is safe to say that customary international law recognizes this.[119]

[113] This was the approach taken in *Telenor v Hungary*, Award, 13 September 2006, at para 78.

[114] R Dolzer, 'Indirect Expropriation of Alien Property' (1986) 1 ICSID Review-FILJ (1986) 41.

[115] See eg *TECMED v Mexico*, Award, 29 May 2003, 43 ILM (2004) 133, paras 115, 119.

[116] American Law Institute, *Restatement (Third) of the Foreign Relations Law of the United States*, Vol 1 (1987), Section 712, Comment (g): '...a state is not responsible for loss of property or for other economic disadvantage resulting from *bona fide* general taxation, regulation, forfeiture for crime, or other action of the kind that is commonly accepted as within the police power of the states, if not discriminatory....'

[117] *Too v Greater Modesto Insurance Associates*, 23 Iran–US Cl. Trib. Rep. 378; See also *SEDCO v NIOC*, 9 Iran–US Cl. Trib. Rep. 249, 275.

[118] *Feldman v Mexico*, Award, 16 December 2002, 18 ICSID Review-FILJ (2003) 488.

[119] Ibid at para 103.

Similarly, the tribunal in *SD Myers v Canada*[120] held:

The general body of precedent usually does not treat regulatory action as amounting to expropriation. Regulatory conduct by public authorities is unlikely to be the subject of legitimate complaint under Article 1110 of the NAFTA, although the Tribunal does not rule out that possibility.

In *Methanex v USA*,[121] the arbitral tribunal found that a Californian ban of the gasoline additive MTBE did not constitute an expropriation because the measure was adopted for a public purpose, was not discriminatory, and because no specific commitments had been given to the foreign investor:

In the Tribunal's view, Methanex is correct that an intentionally discriminatory regulation against a foreign investor fulfils a key requirement for establishing expropriation. But as a matter of general international law, a non-discriminatory regulation for a public purpose, which is enacted in accordance with due process and, which affects, inter alios, a foreign investor or investment is not deemed expropriatory and compensable unless specific commitments had been given by the regulating government to the then putative foreign investor contemplating investment that the government would refrain from such regulation.[122]

Similarly, in *Saluka v Czech Republic*,[123] the tribunal said:

In the opinion of the Tribunal, the principle that a State does not commit an expropriation and is thus not liable to pay compensation to a dispossessed alien investor when it adopts general regulations that are 'commonly accepted as within the police power of States' forms part of customary international law today. There is ample case law in support of this proposition.[124]

The references to general regulations and to non-discrimination suggest that the tribunals were influenced by the concept of national treatment. But the rules on foreign investment are not based on the principle of national treatment. General regulatory rules and the measures based on them are subject to the same standards of protection that have been developed for all other instances. In the words of the decision of *Pope & Talbot v Canada*, 'a gaping loophole' would otherwise exist in the operation of the rules protecting foreigners.[125]

In *Santa Elena v Costa Rica*,[126] the tribunal found that the fact that measures were taken for the purpose of environmental protection did not affect their nature

[120] *S D Myers v Canada*, First Partial Award, 13 November 2000, 40 ILM (2001) 1408, para 281.

[121] *Methanex v USA*, Award, 3 August 2005, 44 ILM (2005) 1345.

[122] Ibid Part IV, Chapter D, p. 4, para 4.

[123] *Saluka v Czech Republic*, Partial Award, 17 March 2006.

[124] Ibid at para 262, citing *Methanex v USA*.

[125] *Pope & Talbot v Canada*, Interim Award, 26 June 2000, 122 ILR (2002) 316, para 99; see also *ADC v Hungary*, Award, 2 October 2006, at paras 423, 424.

[126] *Santa Elena v Costa Rica*, Award, 17 February 2000, 5 ICSID Reports 153.

as an expropriation. Therefore, the obligation to pay compensation remained. The tribunal said:

> Expropriatory environmental measures—no matter how laudable and beneficial to society as a whole—are in this respect, similar to any other expropriatory measures that a state may take in order to implement its policies: where property is expropriated, even for environmental purposes, whether domestic or international, the state's obligation to pay compensation remains.[127]

In *ADC Affiliate Limited v Hungary*,[128] the claimants argued that their investment in an airport project was expropriated by measures which deprived them of their rights to operate two airport terminals and to benefit from associated future business opportunities. The tribunal accepted the claim of indirect expropriation and rejected Hungary's argument based on its right to regulate. The tribunal said:

> The Tribunal cannot accept the Respondent's position that the actions taken by it against the Claimants were merely an exercise of its rights under international law to regulate its domestic economic and legal affairs. It is the Tribunal's understanding of the basic international law principles that while a sovereign State possesses the inherent right to regulate its domestic affairs, the exercise of such right is not unlimited and must have its boundaries. As rightly pointed out by the Claimants, the rule of law, which includes treaty obligations, provides such boundaries. Therefore, when a State enters into a bilateral investment treaty like the one in this case, it becomes bound by it and the investment-protection obligations it undertook therein must be honored rather than be ignored by a later argument of the State's right to regulate.
>
> The related point made by the Respondent that by investing in a host State, the investor assumes the 'risk' associated with the State's regulatory regime is equally unacceptable to the Tribunal. It is one thing to say that an investor shall conduct its business in compliance with the host State's domestic laws and regulations. It is quite another to imply that the investor must also be ready to accept whatever the host State decides to do to it. In the present case, had the Claimants ever envisaged the risk of any possible depriving measures, the Tribunal believes that they took that risk with the legitimate and reasonable expectation that they would receive fair treatment and just compensation and not otherwise.[129]

In addition, the tribunal made the rare finding that the host state had failed to demonstrate that its measures were in the public interest[130] and that, moreover, the taking had not taken place under due process of law.[131]

[127] Para 72. The tribunal in *Azurix* quotes this passage at para 309: *Azurix Corp. v The Argentine Republic*, Award, 14 July 2006.

[128] *ADC v Hungary*, Award, 2 October 2006.

[129] Ibid at paras 423, 424.

[130] See para 433.

[131] Ibid at paras 434 *et seq*.

Recent decisions have sought to find a balance between the host state's right to act in the public interest and the protection of the investor's rights.[132] The tribunal in *Azurix*[133] held that the issue was whether the measures concerned being legitimate and serving a public purpose should give rise to a compensation claim. It found the criterion of bona fide regulation within the accepted police powers of the state insufficient and contradictory.[134] The tribunal said about this argument:

> According to it, the BIT would require that investments not be expropriated except for a public purpose and that there be compensation if such expropriation takes place and, at the same time, regulatory measures that may be tantamount to expropriation would not give rise to a claim for compensation if taken for a public purpose.[135]

The *Azurix* tribunal approvingly quoted the European Court of Human Rights,[136] which had found that in addition to a legitimate aim in the public interest there had to be 'a reasonable relationship of proportionality between the means employed and the aim sought to be realized'. This proportionality would be lacking if the person concerned 'bears an individual and excessive burden'.[137]

The tribunal in *LG&E v Argentina*[138] adopted a similar balancing test. It said:

> In order to establish whether State measures constitute expropriation under Article IV(1) of the Bilateral Treaty, the Tribunal must balance two competing interests: the degree of the measure's interference with the right of ownership and the power of the State to adopt its policies. [...] With respect to the power of the State to adopt its policies, it can generally be said that the State has the right to adopt measures having a social or general welfare purpose. In such a case, the measure must be accepted without any imposition of liability, except in cases where the State's action is obviously disproportionate to the need being addressed. The proportionality to be used when making use of this right was recognized in *Tecmed*, which observed that 'whether such actions or measures are proportional to the public interest presumably protected thereby and the protection legally granted to investments, taking into account that the significance of such impact, has a key role upon deciding the proportionality.' (footnote omitted)[139]

(g) Duration of a Measure

The duration of a governmental measure affecting the interests of a foreign investor is important for the assessment of whether an expropriation has occurred.[140] The

[132] For a proposal to balance investor and host state rights that goes beyond current arbitral practice, see U Kriebaum, 'Regulatory Takings: Balancing the Interests of the Investor and the State' (2007) 8 *Journal of World Investment & Trade* No. 5.

[133] *Azurix Corp. v The Argentine Republic*, Award, 14 July 2006.

[134] At paras 310, 311.

[135] At para 311.

[136] *James v United Kingdom*, 8 *European Human Rights Reports* 123–164 (1986), Judgment of 21 February 1986, Ser. A, No. 98, paras 50 and 63.

[137] *Azurix* at para 311.

[138] *LG&E v Argentina*, Decision on Liability, 3 October 2006, 46 ILM (2007) 36.

[139] At paras 189, 195.

[140] See G C Christie, 'What Constitutes a Taking of Property under International Law?' (1962) *British Year Book of International Law* 307; J Wagner, 'International Investment, Expropriation

Iran–United States claims tribunal ruled that the appointment of a temporary manager by the host state against the will of the foreign investor will constitute a taking if the consequential deprivation is not 'merely ephemeral'.[141]

Investment tribunals have also laid emphasis on the duration of the measure in question.[142] In *SD Myers v Canada*,[143] the tribunal said:

> An expropriation usually amounts to a lasting removal of the ability of an owner to make use of its economic rights although it may be that, in some contexts and circumstances, it would be appropriate to view a deprivation as amounting to an expropriation, even if it were partial or temporary.[144]

In the event the tribunal found that the measure had lasted for 18 months only and that this limited effect did not amount to an expropriation.[145]

In *Wena Hotels v Egypt*,[146] the tribunal in its Award found that the seizure of the investor's hotel lasting for nearly a year was not 'ephemeral' but amounted to an expropriation.[147] In its subsequent Decision on Interpretation[148] the *Wena* tribunal said:

> It is true that the Original Tribunal did not explicitly state that such expropriation totally and permanently deprived Wena of its fundamental rights of ownership. However, in assessing the weight of the actions described above, there was no doubt in the Tribunal's mind that the deprivation of Wena's fundamental rights of ownership was so profound that the expropriation was indeed a total and permanent one.[149]

LG&E v Argentina also ruled that the duration of the measure had to be taken into account.[150]

The tribunal found that, as a rule, only an interference that is permanent will lead to an expropriation:

> Similarly, one must consider the duration of the measure as it relates to the degree of interference with the investor's ownership rights. Generally, the expropriation must be permanent, that is to say, it cannot have a temporary nature, unless the investment's

and Environmental Protection' (1999) 29 *Golden Gate University Law Review* 465; WM Reisman and RD Sloane, 'Indirect Expropriation and its Valuation in the BIT Generation' (2003) 74 *British Year Book of International Law* 115.

141 See *Tippetts, Abbett, McCarthy, Stratton v TAMS-AFFA Consulting Eng'rs of Iran*, 6 Iran–US Cl. Trib. Rep. (1984), 219, 225; *Phelps Dodge Corp v Iran*, 10 Iran–US Cl. Trib. Rep (1986), 121; *James M. Saghi, Michael R. Saghi, and Allan J. Saghi v Iran*, 14 Iran–US Cl. Trib. Rep (1988), 3.

142 *TECMED v Mexico*, Award, 29 May 2003, 43 ILM (2004) 133, at para 116; *Generation Ukraine v Ukraine*, Award, 16 September 2003, 44 ILM (2005) 404, at para 20.32; *Azurix v Argentina*, Award, 14 July 2006, para 313: 'How much time is needed must be judged by the specific circumstances of each case.'

143 *S D Myers v Canada*, First Partial Award, 13 November 2000, 40 ILM (2001), 1408.

144 Ibid at para 283.

145 Ibid at para 287.

146 *Wena Hotels Ltd. v Arab Republic of Egypt*, Award, 8 December 2000, 6 ICSID Reports 68.

147 At para 99.

148 *Wena Hotels Ltd. v Arab Republic of Egypt*, Decision on Interpretation, 31 October 2005.

149 At para 120.

150 *LG&E v Argentina*, Decision on Liability, 3 October 2006, 46 ILM (2007) 36.

successful development depends on the realization of certain activities at specific moments that may not endure variations.[151]

The tribunal's conclusion was as follows:

Thus, the effect of the Argentine State's actions has not been permanent on the value of the Claimants' shares, and Claimants' investment has not ceased to exist. Without a permanent, severe deprivation of LG&E's rights with regard to its investment, or almost complete deprivation of the value of LG&E's investment, the Tribunal concludes that these circumstances do not constitute expropriation.[152]

(h) Creeping Expropriation

The rules on the protection of foreign investment must not be circumvented by way of splitting up a measure amounting to an indirect expropriation into a series of cumulative steps which, taken together, have the same effect on the foreign owner. Therefore, it has long been accepted that an expropriation may occur 'outright or in stages'.[153] Thus, the term 'creeping expropriation' describes a taking through a series of acts.[154] A study by UNCTAD has referred in this context to '... a slow and incremental encroachment on one or more of the ownership rights of a foreign investor that diminishes the value of its investment'.[155]

Practice has recognized the phenomenon of creeping expropriation on a number of occasions.[156] The tribunal in *Generation Ukraine v Ukraine*[157] explained creeping expropriation as follows:

Creeping expropriation is a form of indirect expropriation with a distinctive temporal quality in the sense that it encapsulates the situation whereby a series of acts attributable to the State *over a period of time* culminate in the expropriatory taking of such property. [...] A plea of creeping expropriation must proceed on the basis that the investment existed at a particular point in time and that subsequent acts attributable to the State have eroded the investor's rights to its investment to an extent that is violative of the relevant international standard of protection against expropriation.[158]

[151] At para 193.

[152] Ibid at para 200.

[153] See American Law Institute, *Restatement (Third) of the Foreign Relations Law of the United States*, Vol 1 (1987), Section 712; GC Christie, 'What Constitutes a Taking of Property under International Law?' (1962) 38 *British Year Book of International Law* 307.

[154] The term 'creeping expropriation' has occasionally also been used interchangeably with term 'indirect expropriation'.

[155] UNCTAD, *Series on Issues in International Investment Agreements: 'Taking of Property'* (2000) 11–12.

[156] See also *Biloune v Ghana*, 95 ILR (1994) 184, 209; *TECMED v Mexico*, Award, 29 May 2003, 43 ILM (2004) 133, para 144; cf also Article 15 of the ILC Articles on State Responsibility in J Crawford, *The International Law Commission's Articles on State Responsibility* (2002) 141; *Santa Elena v Costa Rica*, Award, 17 February 2000, 39 ILM (2000) 317, para 76; *Azurix v Argentina*, Award, 14 July 2006, para 313.

[157] *Generation Ukraine v Ukraine*, Award, 16 September 2003, 44 ILM (2005) 404.

[158] Ibid at paras 20.22, 20.26.

The decision in *Tradex v Albania*[159] emphasized the cumulative effect of the measures in question:

While the [...] Award has come to the conclusion that none of the single decisions and events alleged by Tradex to constitute an expropriation can indeed be qualified by the Tribunal as expropriation, it might still be possible that, and the Tribunal, therefore, has to examine and evaluate hereafter whether the combination of the decisions and events can be qualified as expropriation of Tradex' foreign investment in a long, step-by-step process by Albania.[160]

In *Siemens v Argentina*,[161] the host state had taken a series of adverse measures, including postponements and suspensions of the investor's profitable activities, fruitless renegotiations and ultimately the cancellation of the project. The tribunal found that this had amounted to an expropriation and described creeping expropriation in the following terms:

By definition, creeping expropriation refers to a process, to steps that eventually have the effect of an expropriation. If the process stops before it reaches that point, then expropriation would not occur. This does not necessarily mean that no adverse effects would have occurred. Obviously, each step must have an adverse effect but by itself may not be significant or considered an illegal act. The last step in a creeping expropriation that tilts the balance is similar to the straw that breaks the camel's back. The preceding straws may not have had a perceptible effect but are part of the process that led to the break.[162]

Professor Reisman and RD Sloane have rightly pointed out that the issue must sometimes be seen in retrospective:

Discrete acts, analyzed in isolation rather than in the context of the overall flow of events, may, whether legal or not in themselves, seem innocuous vis-à-vis a potential expropriation. Some may not be expropriatory in themselves. Only, in retrospect will it become evident that those acts comprised part of an accretion of deleterious acts and omissions, which in the aggregate expropriated the foreign investor's property rights. [...] Because of their gradual and cumulative nature, creeping expropriations also render it problematic, perhaps even arbitrary, to identify a single interference (or failure to act where a duty requires it) as the 'moment of expropriation'.[163]

5. Expropriation of Contractual Rights

'The taking away or destruction of rights acquired, transmitted, and defined by a contract is as much a wrong, entitling the sufferer to redress, as the taking away

159 *Tradex v Albania*, Award, 29 April 1999, 14 ICSID Review-FILJ (1999) 197.
160 Ibid at para 191.
161 *Siemens v Argentina*, Award, 6 February 2007.
162 At para 263.
163 WM Reisman and RD Sloane, 'Indirect Expropriation and its Valuation in the BIT Generation' (2003) 74 *British Year Book of International Law* 115, 123–125.

or destruction of tangible property.' This principle, stated in 1903 by a member of the US–Venezuela Mixed Claims Commission in the *Rudloff* case,[164] was followed in 1922 by the Permanent Court of Arbitration in the *Norwegian Shipowners* case[165] and also by the Permanent Court of International Justice in 1926 in the *Chorzow Factory* case.[166] Cases decided in investment arbitrations[167] and by the Iran–United States claims tribunal[168] have confirmed this position.

In *Amoco International Finance Corp v Iran* the Iran–United States claims tribunal held that expropriation may extend to any right that can be the object of a commercial transaction.[169] The arbitral tribunal in *Tokios Tokelės v Ukraine* stated that all business operations associated with the physical property of the investors are covered by the term 'investment', including contractual rights.[170]

In the modern investment context, many investment decisions are accompanied and protected by specific investment agreements with the host state, often covering matters such as taxation, customs regulations, the right and duty to sell at a certain price to the host state, or pricing issues. These agreements form the legal and financial foundations of the investment, and the business decisions based upon them may collapse in their absence. Thus, it is understandable that practically all investment treaties state that contracts are covered by the term 'investment'.[171] In turn, provisions dealing with expropriation in these

[164] American–Venezuelan Mixed Claims Commission, *Rudloff Case*, Decision on Merits, 9 RIAA (1959) 244, 250.

[165] Permanent Court of Arbitration, *Norwegian Shipowners' Claim* (Norway v USA), 13 October 1922, 1 RIAA (1948) 307. The arbitrators held that by requisitioning ships that were to be built for Norwegian citizens, the government of the United States also expropriated the underlying construction contracts.

[166] PCIJ, *Case Concerning Certain German Interests in Polish Upper Silesia*, PCIJ Series A, No. 7 (1926) 3.

[167] See *SPP v Egypt*, 3 ICSID Reports (1995) 189, at paras 164–167; *Wena Hotels v Egypt*, Award, 8 December 2000, 41 ILM (2002) 896, para 98; *CME v Czech Republic*, Partial Award, 13 September 2001, 9 ICSID Reports 121, at para 591; *Impregilo S. p. A. v Pakistan*, Decision on Jurisdiction, 22 April 2005, 12 ICSID Reports 242, at para 274; *Eureko B. V. v Poland*, Partial Award, 19 August 2005, 12 ICSID Reports 335, at para 241; *Bayindir Insaat Turizm Ticaret Ve Sanayi A. S. v Pakistan*, Decision on Jurisdiction, 14 November 2005, at para 255; *Azurix v Argentina*, Award, 14 July 2006, at para 314.

[168] Article IV-2 of the Treaty of Amity between Iran and the USA (1955) protects not only 'property' but also 'interests in property'. According to the tribunal in *Phillips Petroleum Company v Iran*, the term 'interest in property' was 'included at the insistence of the United States for the stated purpose of ensuring that contract rights in the petroleum industry would be protected by the treaty in the same way as would the older type of property represented by a petroleum concession' (see *Phillips Petroleum Company v Iran*, Award, 29 June 1989, 21 Iran US CTR (1989) 79, para 105).

[169] *Amoco International Finance Corp. v Iran*, Award, 14 July 1987, 15 Iran–US CTR 189, para 108.

[170] *Tokios Tokelės v Ukraine*, Decision on Jurisdiction, 29 April 2004, 20 *ICSID Review-FILJ* (2005) 205, paras 92–93.

[171] See eg Article 1(6)(f) of the Energy Charter: 'any right conferred by law or contract'. See also Article 1139 of the NAFTA. See also R Dolzer and M Stevens, *Bilateral Investment Treaties* (1994); also G Sacerdoti, 'Bilateral Treaties and Multilateral Instruments on Investment Protection' (1997) 269 *Collected Courses of the Hague Academy of International Law* 251, 381; R Higgins, 'The Taking of

treaties refer to 'investments'. It follows that contracts are protected against expropriation.

The tribunal in *Siemens v Argentina*,[172] applying the BIT between Argentina and Germany, said:

> The Contract falls under the definition of 'investments' under the Treaty and Article 4(2) refers to expropriation or nationalization of investments. Therefore, the State parties recognized that an investment in terms of the Treaty may be expropriated. There is nothing unusual in this regard. There is a long judicial practice that recognizes that expropriation is not limited to tangible property.[173]

Not every failure by a government to perform a contract amounts to an expropriation even if the violation leads to a loss of rights under the contract. A simple breach of contract at the hands of the state is not an expropriation.[174] Tribunals have found that the determining factor is whether the state has acted in an official, governmental capacity.[175]

In the *Jalapa Railroad* case before the American Mexican Claims Commission (1948),[176] the decisive issue was whether the nullification of a contractual clause by the Mexican government was 'effected arbitrarily by means of a governmental power illegal under international law'. In *Consortium RFCC v Morocco*, the tribunal differentiated between the mere exercise of a right and an action by the host state 'in public capacity' and placed emphasis on whether or not a law or a governmental decree had been passed or a judgment executed.[177]

Other tribunals have held similarly that mere breaches of contract or defects in its performance would not amount to an expropriation. What was needed was an act of public authority.[178] In *Siemens v Argentina*,[179] the tribunal, in the course of its discussion of expropriation, found that a state party to a contract would breach

Property by the State: Recent Developments in International Law' (1982-III) 176 *Collected Courses of the Hague Academy of International Law* 263, 271; UNCTAD, *Series on Issues in International Investment Agreements: 'Taking of Property'* (2000) 36.

[172] *Siemens v Argentina*, Award, 6 February 2007.

[173] At para 267. The tribunal relied on the *Norwegian Shipowners* and *Chorzow Factory* cases.

[174] For detailed discussion, see SM Schwebel, 'On Whether the Breach by a State of a Contract with an Alien is a Breach of International Law' in *International Law at the Time of its Codification, Essays in Honour of Roberto Ago, III* (1987) 401.

[175] See also Restatement (Third) of the Foreign Relations Law of the United States, American Law Institute (1986) vol. 2, p. 201: '...a state is responsible for such a repudiation or breach only...if it is akin to an expropriation in that the contract is repudiated or breached for governmental rather than commercial reasons....'

[176] American–Mexican Claims Commission, *Jalapa Railroad and Power Co.*, 8 Whiteman Digest of International Law (1976) 908–909.

[177] *RFCC v Morocco*, Award, 22 December 2003, 20 ICSID Review-FILJ (2005) 391, paras 60–62, 65–69, 85–89.

[178] *Impregilo S.p.A. v Pakistan*, Decision on Jurisdiction, 22 April 2005, 12 ICSID Reports 245, at para 281; *Bayindir Insaat Turizm Ticaret ve Sanayi A.Ş. v Islamic Republic of Pakistan*, Decision on Jurisdiction, 14 November 2005, at para 257; *Azurix Corp. v The Argentine Republic*, Award, 14 July 2006, at para 315.

[179] *Siemens v Argentina*, Award, 6 February 2007.

the applicable treaty only if its behaviour went beyond that which an ordinary contracting party could adopt.[180] The tribunal said:

> ... for the State to incur international responsibility it must act as such, it must use its public authority. The actions of the State have to be based on its 'superior governmental power'. It is not a matter of being disappointed in the performance of the State in the execution of a contract but rather of interference in the contract execution through governmental action.[181]

In particular, tribunals have held that a failure to pay a debt under a contract does not amount to an expropriation.[182] *Waste Management v Mexico*[183] concerned a concession for waste disposal. The tribunal found that the mere non-payment by the city of Acapulco of amounts due under the concession agreement did not amount to an expropriation.[184] It found that the state's failure to pay bills, did not amount to an 'outright repudiation of the transaction' and did not purport to terminate the contact. Only a decree or executive act or an exercise of legislative public authority could amount to an expropriation. The tribunal said:

> The mere non-performance of a contractual obligation is not to be equated with a taking of property, nor (unless accompanied by other elements) is it tantamount to expropriation. Any private party can fail to perform its contracts, whereas nationalization and expropriation are inherently governmental acts[185] [...] The Tribunal concludes that it is one thing to expropriate a right under a contract and another to fail to comply with the contract. Non-compliance by a government with contractual obligations is not the same thing as, or equivalent or tantamount to, an expropriation.[186]

While these considerations are clearly helpful, they do not exhaust the subject matter. Indeed, the *Waste Management* tribunal itself recognized, without elaboration, that 'one could envisage conduct tantamount to an expropriation which consisted of acts and omissions not specifically or exclusively governmental.'[187] An analysis that is consistent with the approach generally valid for all acts of expropriation would not focus exclusively on the existence of formal governmental acts or the purported intentions of the government but would also contemplate other relevant factors.[188]

[180] At para 248.
[181] At para 253.
[182] *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, 42 ILM 1285(2003), at para 161.
[183] *Waste Management v Mexico*, Award, 30 April 2004, 43 ILM (2004) 967.
[184] At paras 159 to 174
[185] At para 174.
[186] At para 175.
[187] Ibid.
[188] See above, pp. 107 *et seq*.